Equity shares may be issued for cash at par or at premium. When a company issues shares at a price equal to the face value (nominal value), it is known as issue at par. When a company issues shares at a price more than the face value, the shares are said to be issued at premium. The excess is called as premium.

(i) When shares are issued for cash at par:

Following are the journal entries to be passed:

Date	Particulars	L.F.	Debit ₹	Credit ₹
	1. On receipt of application money			
	Bank A/c Dr.		xxx	
	To Equity share application A/c			xxx
	2. On allotment of shares, to transfer share application money			
	Share application A/c Dr.		xxx	
	To Equity share capital A/c			xxx
	3. On refund of application money for rejected applications			
	Equity share application A/c Dr.		xxx	
	To Bank A/c			xxx
	4. For allotment money due			
	Equity share allotment A/c Dr.		xxx	
	To Equity share capital A/c			xxx
	5. On receipt of allotment money			
	Bank A/c Dr.		xxx	
	To Equity share allotment A/c			xxx
	6. On making call for the call money due			
	Equity share call A/c Dr.		xxx	
	To Equity share capital A/c			xxx
	7. On receipt of call money			
	Bank A/c Dr.		xxx	
	To Equity share call A/c			xxx

Illustration 1

Thai Ltd. issued 1,00,000 equity shares of ₹ 10 each, payable ₹ 5 on application, ₹ 2 on allotment, ₹ 2 on first call and ₹ 1 on final call. All the shares are subscribed and amount was duly received. Pass journal entries.

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